

REC Ltd

RECLTD · Financials

ROE

20.4%

ROCE

9.3%

Net Profit Margin

29.8%

Debt-to-Equity

6.42

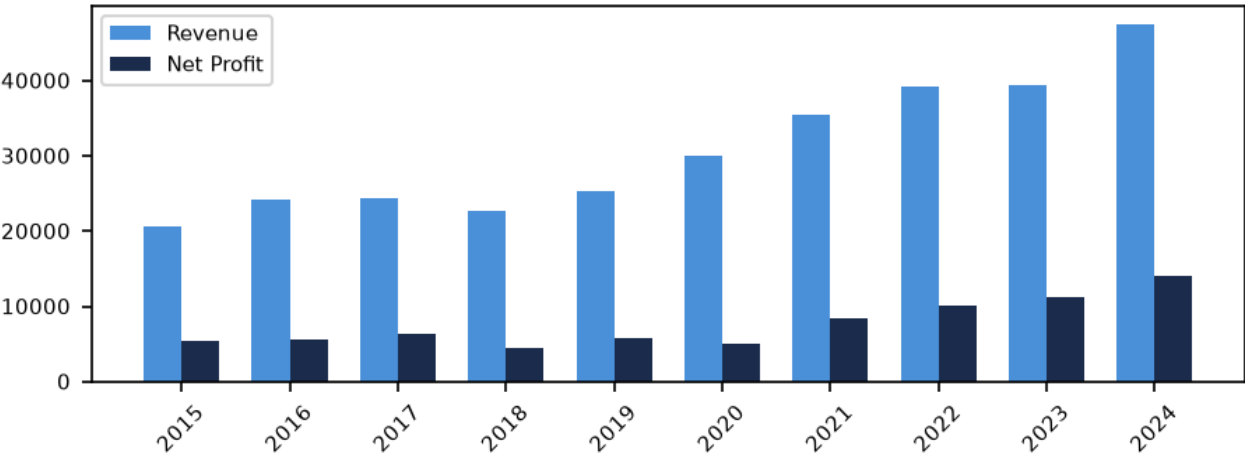
Revenue CAGR (5yr)

13.3%

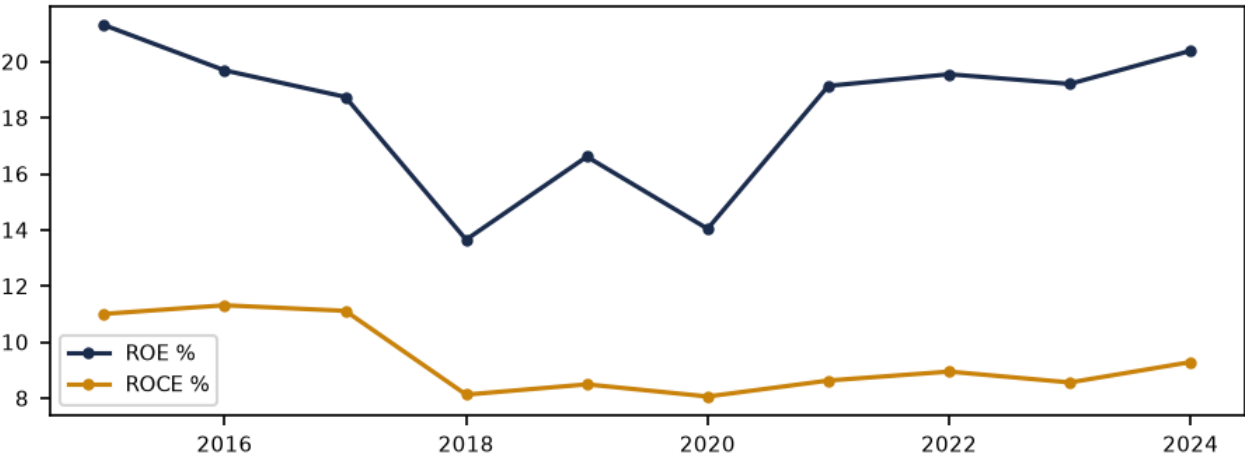
Free Cash Flow

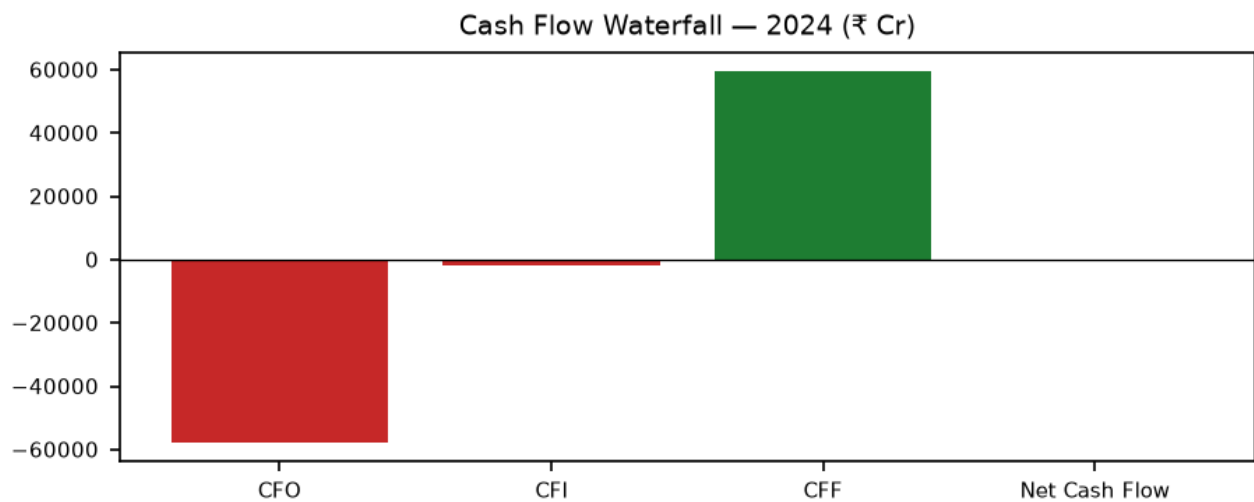
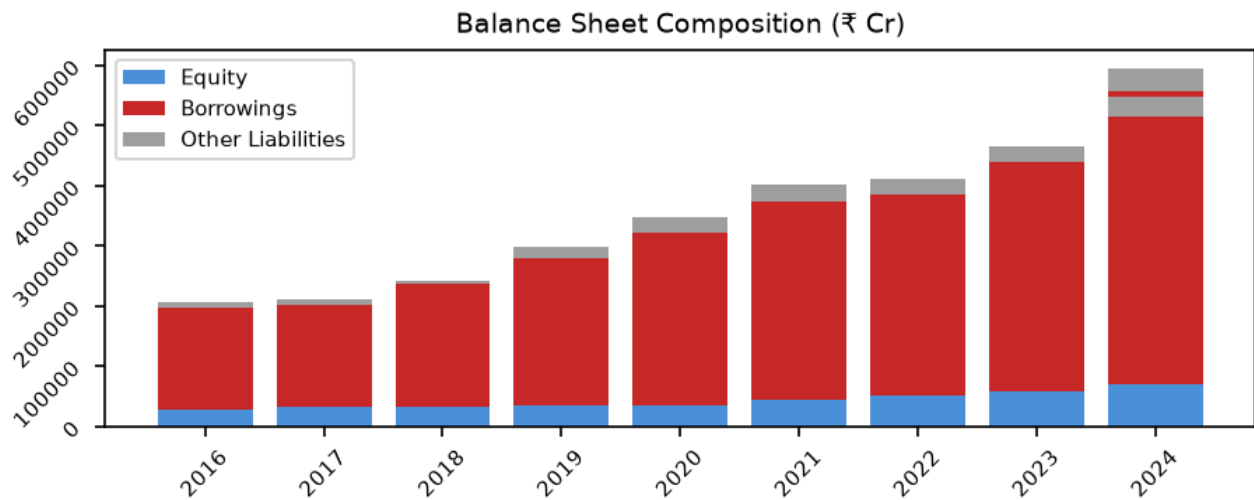
■ -59,554 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- ✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Distress